The Commodities Feed: European gas and Asian LNG surge after Qatar halts operations

Oil markets traded higher yesterday following the escalation in the Middle East. Meanwhile, European gas prices surged after Qatar halted LNG operations

Energy- Duration of disruptions key for energy markets

The oil market pared some of its initial gains yesterday, with Brent settling 7.26% higher on the day after initially trading as much as 13.6% higher. The market continues to digest the risk of escalation in the Middle East. While there are concerns about oil flows through the Strait of Hormuz, a greater risk to the market would be Iran targeting additional energy infrastructure in the region. This could lead to more prolonged outages.

Oil price movements have been fairly modest, given the amount of supply at risk and uncertainty about how long disruptions could persist. Part of the explanation: the market had already been pricing in a fairly large risk premium in the lead-up to these attacks. Also, the market appears to be pricing in a relatively short-lived disruption to oil flows through the Strait of Hormuz, which the large surplus markets expect this year should be able to absorb.

Clearly, supply disruptions leave significant tightness in the prompt market, as reflected in timespreads. The 12-month ICE Brent is surging from less than US$5/bbl to a little over US$9.50/bbl backwardation. The May/Jun spread surged towards a US$1.60/bbl backwardation.

Secretary of State Marco Rubio said that the US will announce plans on Tuesday to mitigate higher energy costs. At the same time, though, there have been reports that the US has no immediate plan to release oil from its strategic petroleum reserve. The longer the Middle East disruptions last, the more likely we are to see coordinated emergency releases from several countries.

The middle distillate market saw significant strength. The ICE gasoil market settled almost 18% higher yesterday, while the gasoil crack surged above $36/bbl. At risk is 6m b/d of refined product flows through the Strait of Hormuz. Disruptions in crude oil flows also pose risks to refinery runs in other regions. Furthermore, the 550k b/d Ras Tanura refinery, the largest in Saudi Arabia, halted operations due to limited damage from debris of an intercepted drone.

Yet the most aggressive move was in the European gas market, with TTF surging as much as 54% at one stage yesterday. This saw the market trade just shy of EUR50/MWh. Even so, the market finished the day a little more than 39% higher. Around 20% of global LNG trade moves through the Strait of Hormuz. This is a clear risk for global gas markets. An announcement from Qatar Energy that it was halting LNG operations amid an attack only added fuel to the fire. Though plant operations would have had to be scaled back regardless, should vessel flows through the Strait of Hormuz persist. As we highlighted ahead of yesterday's market open, the gas market was vulnerable to a larger spike. This is because the global LNG market and EU gas storage are relatively tight, and Qatari LNG faces significant supply risks.

Metals – Precious metals volatility

Gold and silver rallied sharply at the start of the week before reversing in afternoon trade following the weekend's escalation between the US, Israel and Iran. Silver was particularly volatile, surging to just below $100/oz during Asian trading hours before tumbling to around $86/oz. This suggests near-term profit-taking following the recent outsized move. Gold briefly traded above $5,400/oz as the trading day opened before slipping back below $5,200/oz in the afternoon.

Relative to gold, silver continues to exhibit significantly higher volatility, with positioning and thinner liquidity amplifying intraday swings. Gold price action remains comparatively more stable, consistent with its role as the preferred hedge in a risk off environment.

In base metals, Middle East tensions bring aluminium supply risks back into focus, given that around 8% of global production is concentrated in the Gulf and heavily reliant on shipping through the Strait of Hormuz. LME aluminium prices jumped as much as 3.5% in Monday's trading. While an outright supply shock remains a tail risk, the more immediate impact is via logistics, freight and insurance costs, which are likely to feed through to physical premiums rather than LME prices.

More broadly for the metals complex, higher energy prices and supply chain risks add inflationary pressure, though dollar strength could cap the upside.

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War in the Middle East – implications for markets and macro

From cautious optimism on Friday to full-scale US and Israeli strikes by Saturday morning and uncertainty about what s next, military action in the Middle East has the potential to reshape the region – but it could also have significant implications for the global economy and markets

With events in the Middle East still evolving rapidly, two rather abstract scenarios could potentially unfold from here for macro and markets

The coordinated attacks on Iranian military, nuclear, and leadership sites, including the reported killing of Supreme Leader Ayatollah Khamenei, represent a profound shock to Iran's political system and a fundamental rupture in what had still looked, only a few days ago, like an ongoing diplomatic process. A third round of nuclear talks in Geneva had just concluded with the Omani mediator reporting "significant progress". Washington apparently disagreed.

The stated US objective has evolved well beyond nuclear containment. US President Donald Trump's direct address to the Iranian people, "take over your government, it will be yours to take", alongside Israeli Prime Minister Benjamin Netanyahu's framing of "removing an existential threat," makes regime change the explicit goal. That is a significant, legally contested, and historically dangerous step. Middle Eastern history offers little encouragement for the proposition that civilian populations seize orderly control once leadership structures collapse. Power vacuums tend to produce civil war, hardline consolidation, or prolonged fragmentation; sometimes all three.

Contrary to the attacks on Iran last summer, Tehran didn't wait long with its response. Firing back within four hours, hitting Israel, US bases in Bahrain, Kuwait, and Qatar, and civilian infrastructure across the Gulf, shows contingency plans were already on the shelf.

Needless to say, this remains a fast-moving environment. From a market perspective, two rather abstract general scenarios could evolve from here.

Two general scenarios that matter for markets

From here, the possible military and geopolitical scenarios could fill a book and also seem to change by the day. For financial markets, the branching point is simpler and more brutal: does this end in days, or does it become a forever war that involves an entire region?

Scenario 1: Four to seven days, then internal Iranian uncertainty

US and Israeli strikes exhaust fixed military targets quickly, operational tempo drops, and a de-facto ceasefire emerges within the week. Iranian retaliation stays bound, damaging enough to be politically useful domestically, but not enough to draw a decisive US counter-escalation. The Strait of Hormuz sees harassment but no serious disruption, partly because Tehran's own oil exports to China depend on it. The regime either survives in weakened form or fractures into a messy internal transition.

For markets, this is the June 2025 playbook: an initial oil spike, which fades as Hormuz disruption fears ease. A temporary war premium, with no lasting macro implications.

Scenario 2: Iranian retaliation forces Trump's hand – the forever war

President Trump already said on Sunday evening that the war could last up to four or five weeks. Iranian retaliation, which has hit 10 countries so far, does not point to any imminent de-escalation. In this more severe scenario, strikes continue past fixed military targets into infrastructure and mobile assets, lowering operational tempo but extending the timeline indefinitely. Iran, backed into a corner with regime survival in question, escalates asymmetric economic warfare with sustained harassment of tanker traffic, activation of Houthi attacks on Red Sea shipping, and attempts to disrupt the Strait of Hormuz.

Even partial disruption to a chokepoint handling 20 million barrels per day of oil and over 100 bcm of LNG annually produces a supply shock of historic proportions. The whole region becomes unstable. The market implications are materially different: oil moving toward $100 and beyond, a genuine equity market correction, a flight to bonds that holds rather than reverses, prolonged supply chain disruption for both China and Europe, and a central bank dilemma that has no clear answer.

How to think about implications for the global economy

1 Global trade: A supply shock at the worst possible moment

The Iran war lands on a global trading system that had already been under stress from Trump's tariff offensive and the lingering fragmentation of supply chains since Covid and the war in Ukraine. The Strait of Hormuz is the single most important chokepoint in global energy trade, and it now sits in an active warzone.

Even without a formal blockade, the commercial consequences are already unfolding: insurers are cancelling cover, shipping premiums are spiking, and vessels are re-routing or pausing transits. The knock-on effects extend well beyond energy. Gulf airspace closures are disrupting aviation corridors between Europe and Asia. Houthi reactivation in the Red Sea would close the alternative routing valve that kept goods moving during earlier episodes of Hormuz tension.

In a prolonged conflict, the combination of higher energy costs, disrupted logistics, and a generalised confidence shock would constitute a meaningful drag on global trade volumes at precisely the moment the world economy was still digesting the inflationary and growth consequences of the tariff shock. The mother of all bad timings.

2 The US: Fighting a war that raises domestic prices

For the US, even though the trade exposure to the Straits of Hormuz is limited, higher global oil prices would fuel the current cost-of-living crisis. US consumers are already stretched, and gasoline prices are acutely politically sensitive going into midterm territory. Higher oil prices would also complicate the Federal Reserve s future monetary policy path.

A second supply-side inflation shock, while the inflationary impact from tariffs is still unfolding, could make further r ate cuts hard to justify, at least in the nearer term. At the same time, if the conflict drags and uncertainty weighs on business investment and consumer confidence, the growth outlook darkens too.

The one partial offset is that the US itself is a major oil producer; higher oil prices benefit the shale patch and improve the terms of trade for domestic energy, even as they hurt consumers. But that balance is politically awkward to explain and economically insufficient to compensate for the broader damage.

3 The eurozone: The most exposed major economy

Europe is where the macro consequences hit hardest, and the timing could not be worse. The eurozone was finally emerging from its long period of stagnation, with tentative green shoots of recovery emerging – though recently, these have been undermined by new uncertainty regarding tariffs. Now the region could face an energy shock on top of a trade shock.

Europe imports essentially all of its oil and a significant share of its LNG. A surge in energy prices and potentially even energy supply disruption could bring back memories of the energy cost crisis from late 2021 to 2023. There are currently two important differences compared with the situation back then: Europe doesn t have to derisk from a single important energy provider; and the oil price crisis comes at the end of the winter, not the start.

The European Central Bank is caught in a genuine dilemma. Services inflation is still sticky, and an oil shock would push headline inflation higher – yet the growth outlook is simultaneously deteriorating under the combined weight of tariffs, uncertainty, and now energy costs. Back in December, an ECB analysis showed that a 14% increase in oil prices would push up inflation by 0.5ppt and could reduce GDP growth by 0.1ppt. However, this would only be the price effect, not the supply chain disruption effect. Given the still relatively fresh memories of the recent inflation surge, the ECB is unlikely to see any new oil price-driven inflation spike as transitory or even deflationary. However, to see a rate hike, the eurozone economy would have to show clear

resilience.

4 Asia: Inflation and trade balances could come under strain

For now, Asia seems to be able to absorb the jump in oil prices, thanks to the low starting points with inflation broadly in control in most of Asia. However, the severity and persistence of higher prices will ultimately determine the impact. If sustained, Asia is particularly vulnerable to oil price volatility because it relies so heavily on imports; except for Australia, Malaysia and Indonesia, all other economies run deficits in oil and gas trade, leaving them exposed when energy costs rise. If higher prices persist, three factors will shape the impact:

- **Heavy dependence on Middle Eastern oil**: A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and 46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.
- **Trade balances under strain**: Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40-60 basis points. Prolonged increases would only deepen these deficits.
- **Strong inflation pass through**: Because many emerging Asian economies have a relatively high weight of energy in their consumer inflation baskets, rising oil prices feed quickly into headline inflation. On average, a 10% increase in oil prices raises CPI inflation by about 0.2 percentage points.

Our base case had headline inflation across most of Asia rising in 2026 but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – would likely push inflation above target ranges and increase the pressure on central banks to tighten policy sooner rather than later.

What the two scenarios would mean for financial markets and the global economy

In **Scenario 1**, the macro story is noise. A temporary oil spike, some safe-haven positioning, and back to the existing agenda of tariffs, growth differentials, and AI.

In **Scenario 2**, the channels are oil, uncertainty, and the impossible central bank dilemma these create together. In this scenario, oil prices could run toward $100-140. For European gas, if LNG markets start pricing in extended losses to Qatari supply, TTF could spike toward €80-100/MWh. Sustained high oil prices could meaningfully delay monetary policy easing. Even though an oil price shock could also be seen as deflationary, the recent inflation period will prevent most central banks from reacting with monetary policy easing to a new oil price shock.

The initial safe-haven reflex is clear.
Treasuries and Bund yields would move down, gold would increase, as we saw both this morning and as early as Friday, when markets started to anticipate military action. The safe-haven reflex fades if oil stays elevated and inflation re-accelerates.

On FX, investors will be contemplating a re-run of the March 2022 playbook, where US energy

independence saw the dollar rally broadly against the fossil fuel importing currencies of Europe and Asia. The Fed's broad trade-weighted dollar rallied 10%+ over a six-month period, where crude prices stayed elevated for a quarter, but European natural gas prices stayed sky-high for nearly six months.

Expect both the euro and the yen to come under sustained pressure from a prolonged spike in crude prices, while we could see some exceptionally sharp reversals in EM currencies involved in the carry trade. In Europe, that would leave the Hungarian forint as one of the most vulnerable, while there would also be much scrutiny on whether Turkish policymakers could manage outflows from the crowded lira carry trade. But in short, this year's virtuous circle of flows out of the dollar and into EM could reverse and turn vicious.

How the current energy supply risks compare to 2022

For oil and gas markets, there will likely be some parallels made with 2022 and Russia's invasion of Ukraine. The oil supply at risk from a successful blockade of the Strait of Hormuz is roughly 15-20% of global supply, depending on much supply the Saudis can divert by pipeline to the Red Sea. This is significantly higher than the 7-8m b/d of Russian oil supply (which is around 7-8% of global supply) that was at risk during the early days of the Russia-Ukraine war, when we saw Brent spike to almost $140/bbl.

However, helping to a certain degree at the moment is that oil inventories are more comfortable than they were in the lead up to Russia's invasion of Ukraine. OECD stocks are in the region of 200m barrels higher now versus prior to the Russia/Ukraine war. But still, a two-week full blockade would essentially see this buffer disappear, leaving significant upside to prices.

For natural gas, as much as 125bcm of LNG flows are at risk, which is around 3% of global natural gas consumption, but 22% of global LNG trade. However, the roughly 15bcm that Oman exports will be at less of a risk, given cargoes don't need to navigate the Strait of Hormuz, but will still be in close proximity to danger.

In the lead up to Russia's invasion of Ukraine, close to 160bcm of Russian gas (pipeline and LNG to the EU) was at risk. The market is relatively better positioned now, given the build up of LNG export capacity, largely from the US. Since the beginning of 2025 we have seen around 40bcm of US capacity starting up, while a further 14bcm is set to start this year, and there will be significantly more in the years ahead. However, in the immediate term, capacity additions fall well short of potential Persian Gulf supply losses.

A tighter market would see Asia and Europe competing more aggressively for LNG cargoes, pushing up prices. Price-sensitive buyers in Asia will likely step back from the market, while Europe would likely not make the same mistake as it did in 2022, where buyers bought aggressively regardless of price levels.

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Asia's outlook under higher oil prices

Heavy dependence on Middle Eastern oil leaves Asia vulnerable to sustained supply shocks. While inflation risks remain largely manageable at the moment given a low starting point, higher import bills will result in weaker trade balances with some currencies like PHP, THB, INR and KRW more vulnerable

Higher energy prices will weaken trade balances in Asia and lead to inflationary pressures

For now, Asia seems able to absorb the recent jump in oil prices. Inflation across much of the region is starting from relatively low levels and has generally been well contained. But the real question is how *high* and how *long* prices stay elevated – because that's what will ultimately determine the economic fallout.

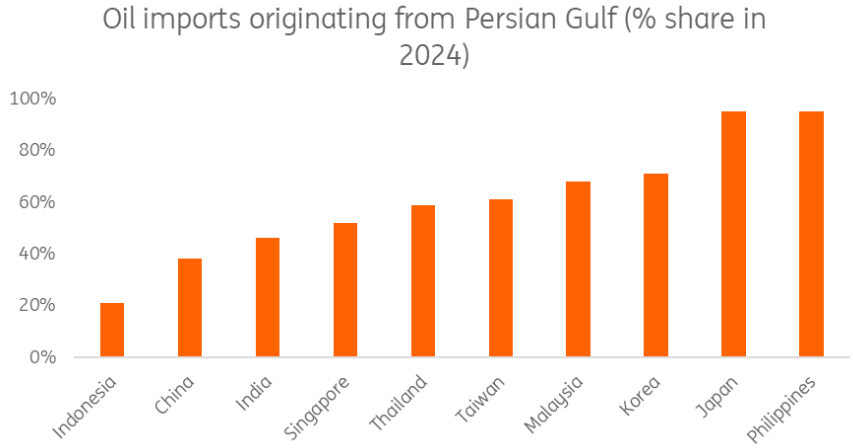
Asia is especially vulnerable to sustained oil price shocks. The region relies heavily on imported energy: apart from Malaysia and Australia, every major economy runs a sustained deficit in oil and gas trade, leaving them exposed when global prices surge. If higher prices persist, three factors will shape the impact.

Heavy dependence on Middle Eastern oil

A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and

46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.

Over 90% of Japan and Philippines' oil imports come from the Middle East



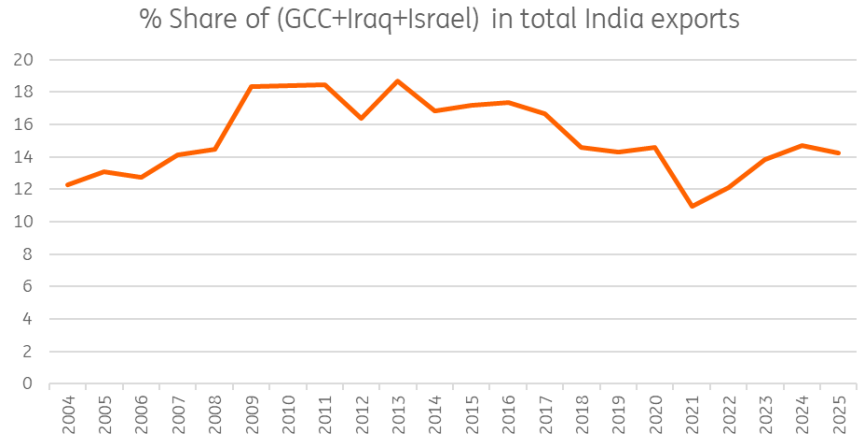
Source: United Nations, WTO

A double-edged sword for trade

Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40–60 basis points. Prolonged increases would only deepen these deficits. The key beneficiary should be Australia, the only large exporter of oil and gas in the region.

It's not just the higher oil import bill that hurts – some Asian economies could also see their export growth take a hit. In recent years, many Asian exporters have been actively diversifying away from the US market because of rising US tariffs, and the Middle East has emerged as an important alternative growth destination. That makes the region's recent instability especially concerning. India is the most exposed to the Middle East-driven export demand, with China following closely behind. Any prolonged disruption in the region risks slowing this new export channel just as it was starting to gain momentum.

GCC export disruptions add another risk to Asia's trade balances

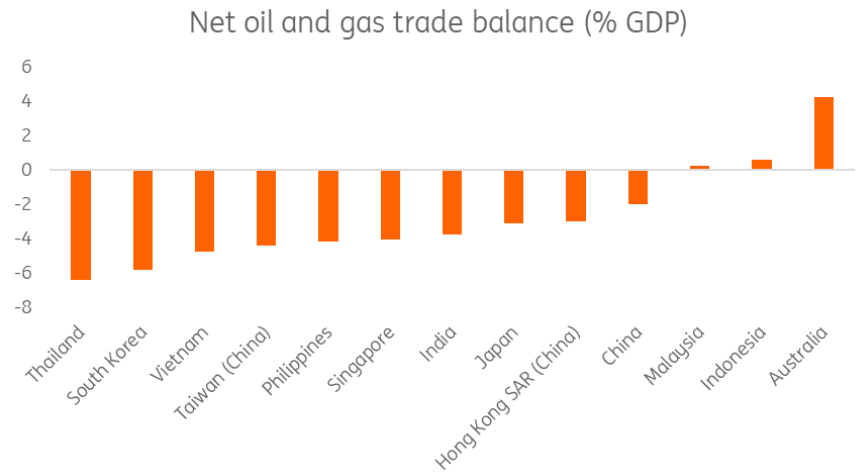


Source: CEIC

Weaker trade balances will put renewed pressure on Asian currencies

Even a short-lived jump in oil prices can have an outsized impact on FX markets. Recall how the less than two-week oil price spike in June 2025 was enough to pull down the PHP, KRW, THB, and JPY by roughly 1.5–3%, despite the brief nature of the conflict. While inflation didn't move much then because the conflict was so brief, a more prolonged period of elevated oil prices would be a very different story. A prolonged conflict, coupled with continued currency weakness, would feed more directly into inflation pressures across the region. And with Asia's heavy reliance on imported energy, currencies like the Thai baht, Korean won, Philippine peso, and Indian rupee remain particularly vulnerable to swings in oil prices and sustained deterioration in trade balances.

Asia runs large energy trade deficits



Source: United Nations, WTO

Strong inflation pass-through is possible – but fiscal cushions can help

Because energy makes up a relatively large share of consumer inflation baskets across emerging Asia, higher oil prices can, in theory, push headline inflation up quickly, especially as higher fuel costs often drive food prices higher too. Emerging Asia has 25-45% of its CPI baskets driven by food. That's why the most exposed economies, like India and the Philippines, are particularly vulnerable, where a 10% jump in oil prices could raise inflation by as much as 0.4 percentage points.

That said, the impact is far from uniform across the region. Several economies like Indonesia, Thailand and India are still partially shielded by fuel subsidies or regulated pricing, which dampens the direct pass through from global oil markets. On the other hand**,** the Philippines – also the worst impacted by higher oil prices – tends to see a stronger inflation hit because retail fuel prices are more market-driven and subsidies are limited.

Our base case had inflation across Asia rising but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – coupled with currency depreciation could push inflation, for example, in the Philippines to the upper end of Bangko Sentral ng Pilipinas s 2-4% inflation target, increasing the pressure on the central bank to hold rates instead of cutting further. Countries like Indonesia and India, which benefit from fuel subsidies, should still retain some room to ease, though the probability of further cuts would be lower.

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Rates Spark: Could have been worse

A remarkable reversal seen through Monday s trading. Might be premature, but we ll take it. Euro rates were already positioned for bad news, which means inflation risks on the back of higher energy prices are pushing rates up. Moving higher from here, however, will face resistance as that would imply a rate hike from the European Central Bank

In early trading volatility spiked, risk assets sold off, spreads widened, bond yields fell and the US dollar rallied, but a lot of that unwound later in the day

US breakevens are up, but just in short tenors, and actually not by that much

We ve seen a remarkable calming in circumstances over the first full day of market trading in the wake of the US/Israel attacks on Iran. The impact effect was dramatic, as volatility spiked, risk assets sold off, spreads widened, bond yields fell and the US dollar rallied. As Monday rolled on, that initial spike unwound, practically completely in many cases. We don t typically do running commentaries on the markets, but here it s important, as many of Monday s market moves portrayed a preliminary market impression that "we ve seen this movie before." For example, the VIX volatility index was pared right back down to where it closed on Friday, CDS-based credit spread indices narrowed right back in to close to Friday s levels (albeit still a tad above), and the 10yr Treasury yield snapped right back above 4% (having initially dipped below 3.95% in the early morning).

But there are other areas where impact moves have been broadly sustained. For example, the price of oil snapped higher, and has remained elevated (albeit off the highs), and the dollar has managed to hold on to a reasonable bid, and inflation breakevens spiked higher, and that too has been broadly sustained. Then again, the moves have not been *that* dramatic. The oil price, for example, is up, but from US$67/bbl on Friday to US$71.5/bbl as we head to the close on Monday. Hardly dramatic. The 2yr US breakeven inflation rate ended Friday at 2.8% and is now at 2.9%. Two things there. First, it was already relatively high, and second, the Iranian attacks have added to them, but only by 10bp. Moreover, the 10yr US breakeven rate is up just 3bp, to a relatively benign 2.3% (a level that Chair Powell impliedly is comfortable with).

Frankly, we ve been surprised that the safety flight into bonds was as short as it was. We can, of course, reverse engineer a rationale as to why the 10yr Treasury yield popped back above 4% (inflation fears). Should circumstances become more sinister from a wider lens across the region, there would no doubt be a renewed safety flight. But the impact reaction following on from the initial impact reaction has been remarkable.

Inflation risks dominate the safe-haven narrative in the eurozone

Eurozone rate markets see inflation risks as the key fallout from the Middle East escalation, and as long as energy prices stay elevated, that won't change. Rates rose most on the front-end of the curve, but also further out the curve, the move was upwards. The rise in euro inflation swaps was consistent with our model based on oil and gas prices, justifying an increase of almost 15bp in 2Y inflation swaps. Gas prices in particular should be watched closely, with the TTF up more than 30%. Having said that, energy prices have already eased from their peak on Monday, suggesting the initial panic reaction is behind us for now.

The question is whether the 2Y euro swap rate has much room to rise from here, as that would imply an ECB rate hike next. On Friday, markets still saw a 50% probability of a rate cut in 2026, but this is now zero. The ECB's Wunsch has already voiced not to rush any policy actions in reaction to the moves in energy prices. This seems sensible, given that only a few weeks ago we were debating a possible cut on the back of a stronger euro. Now the discussion is about euro weakness. The world can change rapidly these days. On the other hand, markets have not forgotten about the last bout of "transitory" inflation.

We think the next move of the 10Y euro swap rate is higher, but the timing is difficult. Before the weekend, we already had multiple risk events weighing down the curve, including AI jitters and renewed tariff uncertainty. Bund yields were braced for more bad news and that might also explain why the inflation effects are dominating the classical safe haven bullish response. Meanwhile, let's not ignore that the underlying macro landscape continues to show signs of improvement with Monday's PMIs all at or above consensus. But given the uncertain path forward with Iran, we doubt risk sentiment can make a more sustained recovery in the next few days, which should keep weighing down on the back end of the curve.

Tuesday's events and market views

With all eyes focused on inflation risks, the eurozone CPI numbers for February will be closely watched. Consensus sees the core number stable at 2.2%, and headline inflation remains below target at 2%. In this environment, the market reaction will likely be

asymmetrical whereby an upside surprise would have more impact than a downside surprise.

We expect headlines to stay the main drivers of market moves, with oil prices the key variable to watch.

We have plenty of eurozone supply to digest, including two syndications. Austria will have a 30Y and 3Y (green) syndication for a total of c.€7bn, and from Germany we have a 15Y green twin bond for an estimated €5-6bn. In addition, we have the Netherlands with a €6-7bn 10Y DSL auction, and Germany will auction 5Y Bobls for €bn.

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National Bank of Poland preview: Geopolitical tension makes a March cut a close call

A March cut would be consistent with the central bank's clear communication in recent weeks and the improving inflation outlook. Recent events in Iran pose a material risk with higher oil prices. The probability of easing has declined. We see a March cut as likely but with hawkish rhetoric. We see upside risks to the terminal rate, which we assume to be 3.25%

The National Bank of Poland in Warsaw

The rate cut was a done deal until the weekend, but the strikes on Iran pose a material risk

The 25bp rate cut we expect this month has clearly been signalled by policymakers – just as the pause we saw in the first months of this year. Headline inflation has been running low in recent months and is widely expected to remain below, or close to, the National Bank of Poland s (NBP's) 2.5% target (+/- 1 percentage point).

The March NBP staff macroeconomic projection should also point to broad-based and sustainable disinflation in the coming quarters. Core inflation disinflation is not materially at risk following the US strikes on Iran, while higher energy commodity prices – if sustained – pose upside risks to headline CPI. However, this would primarily represent a supply side shock, which central banks typically look through.

Additionally, the recently released activity data from the Polish economy provide further justification for monetary easing. Wage growth resumed its downward trend in January after a temporary upswing in the final two months of 2025. This should support a continued slowdown in services inflation, facilitating a further decline in core inflation. Moreover, January data from industry and construction point to some weakening in economic activity in early 2026, reflecting the impact of severe weather conditions but also calling for full year growth below 4% year over year.

The magnitude of the oil price shock poses a significant upside risk to headline CPI but should be temporary

The new variable which needs to be considered by the Monetary Policy Council is the US-Israeli strikes on Iran, the upward impact of energy commodities on inflation and downside on GDP and especially investments.

We estimate that a persistent 10% upswing in crude oil may boost CPI inflation by 0.2-0.5 percentage points. The negative impact on GDP is probably of lower magnitude (0.2-0.3pp), but we also need to factor in the long-term effect of geopolitical uncertainty affecting business confidence and undermining private business s propensity to invest.

If current spot prices of Brent were sustained, it would add up to 1pp to inflation. So, the magnitude of the oil shock poses a significant upside risk to headline CPI, but at the same time, the shock may be temporary in nature and possibly unwind in a few weeks.

The strike on Iran is clearly a supply shock which central banks usually look through. It differs from the Covid/Russia war shocks as these were a combination of supply and demand shocks and caused a more significant rise in prices and de-anchored inflation expectations.

Also, the strike on Iran may dampen economic activity and weigh on business sentiment, with possible adverse effects on investment activity.

At the current juncture, the shock seems to be more persistent risk for private investments than for inflation.

Target rate may be higher than 3.25% amid the turmoil in Iran

We therefore maintain our baseline assumption of a March cut, but the probability of easing has declined. We expect a 25bp cut to be accompanied by a hawkish statement on Wednesday. Moreover, NBP Governor Glapiński is likely to present a more cautious policy outlook at Thursday's press conference, even if the new macroeconomic projection clearly points to a lower-than-expected inflation path.

Until the situation in Iran becomes clearer, it is difficult to assess the likelihood and timing of any additional rate cuts. However, the NBP's terminal rate may well end up higher than the 3.25%

assumed so far.

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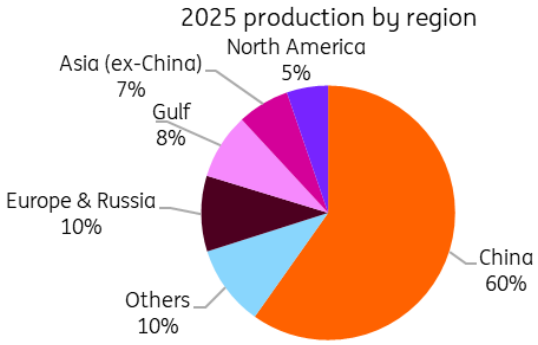
Aluminium supply risk returns amid Middle East tensions

LME aluminium prices jumped 3.5% this morning, a one-month high, with rising Middle East tensions reintroducing supply risks into the market

Global aluminium capacity is heavily reliant on the Strait of Hormuz for both metal exports and alumina imports

Aluminium supply risks rising



Source: IAI, ING Research

Escalation in the conflict between the US/Israel and Iran primarily increases upside risks to physical aluminium premiums, rather than materially tightening global supply. The Middle East accounts for around 8% of global aluminium capacity and is heavily reliant on the Strait of Hormuz for both metal exports and alumina imports, with key producers including Saudi Arabia, the UAE and Bahrain.

The scale of any supply disruption will depend on how long tensions persist, given smelters typically hold around three to four weeks of alumina inventories, meaning short disruptions are manageable – but prolonged disruption would quickly translate into production risk.

Even without a full closure of the Strait, higher freight costs, war risk insurance and vessel delays would likely be reflected first in regional premiums. Europe and the US are most exposed, given their reliance on Middle Eastern metal as marginal supply. European premiums look particularly sensitive, given already tight primary availability and elevated duty paid and duty unpaid premiums. US Midwest premiums are structurally high due to tariffs, limiting near term upside but leaving marginal pricing exposed to Gulf-related disruptions.

For LME prices, the impact is likely to remain headline driven, with sustained upside requiring evidence of prolonged disruption. Overall, risks remain skewed toward higher regional premiums, particularly in Europe, rather than a material repricing of global aluminium supply, even if LME prices face offsetting macro headwinds.

You can find our report on the oil and gas market impact here

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Middle East escalation leaves significant upside for oil and gas markets

Oil markets are set to open significantly higher following US and Israeli attacks on Iran. How sustained any spikes are depends on how long attacks persist. Global LNG markets are also facing significant supply risks due to this weekend's action

Oil prices look set to open higher following US and Israeli action on Iran over the weekend

US strikes come sooner than expected, while Iran responds aggressively

While action taken by the US and Israel against Iran this weekend may not be a complete surprise, the timing is, given that the US and Iran were due for another round of nuclear talks. Therefore, there was still a glimmer of hope that a diplomatic solution could be found. This is clearly not the case.

The attacks on Iran have also made it clear what US ambitions are. It is not purely about ensuring that Iran doesn t have the ability to produce nuclear weapons, but also to push for regime change. This was clear in President Trump's speech urging Iranians to take over their government and that it will be theirs to take. Meanwhile, the successful targeting of Iran's Supreme Leader Ali Khamenei only reinforces this view.

However, actual regime change is easier said than done, particularly when the US and Israel have no ground presence. This makes any shift in power more difficult, while also meaning that any potential transition could be very messy if led by Iranian civilians, as President Trump has called

for.

While it is still very early days and the situation is developing at a fast pace, it does not appear that this military action will be quick and short-lived, like seen in June 2025. Israel has said that action will take as long as needed.

There has also been a strong response from Iran, targeting Israel, US bases across the region and civilian infrastructure in some neighbouring Gulf states. The strong response from Iran highlights that the regime is essentially fighting for survival, while attacks on neighbouring countries could be an attempt by Iran to get these Gulf countries to put pressure on the US to end its strikes.

Energy markets face significant supply risks

It appears that we are moving towards our third potential scenario that we published last week, where we see prolonged military action and an aggressive response from Iran.

For energy markets, we expect an aggressive price response when markets open. ICE Brent could trade into the region of $80-90/bbl immediately, with risks for further strength towards $100/bbl and ultimately $140/bbl (worst-case scenario), if we are to see significant and extended oil supply disruptions.

Meanwhile, European gas and Asian LNG prices could potentially see relatively more aggressive moves, given the risks to Qatari LNG flows and the market being relatively tighter. If LNG/gas markets start to price in an extended period of losses to Qatari LNG supply, TTF could potentially spike to EUR 80-100/MWh ($28-35/MMBtu).

In terms of potential impact, there have already been unconfirmed reports of strikes on Iran's Kharg Island, where basically all of Iran's oil is exported from. This would be in the region of 1.5m b/d of oil, which goes predominantly to China.

Meanwhile, for gas markets, as a precaution, Israel has temporarily shut its Leviathan and Karish gas fields, which produce roughly 17bcm per year.

But most importantly, Iran has also reportedly announced the closure of the Strait of Hormuz. This is a key choke point for global energy markets, with 20m b/d of oil and more than a 100bcm of LNG per year moving through it, which is around 20% of global LNG trade. However, it would be difficult to enforce a closure and any attempts to do so would likely see a strong response from the US.

Vessels are becoming increasingly reluctant to navigate the strait given the risks and the longer this reluctance persists, the more of an impact it will have on oil and gas markets.

If needed, there is the potential to divert some oil flows via pipeline, which would reduce the oil supply at risk to around 15m b/d (9m b/d of crude oil and 6m b/d of refined product). Saudi Arabia is able to pipe some oil to its west coast and ship from the Red Sea. However, this supply could still face disruptions if the Houthis in Yemen, who are backed by Iran, start to attack tankers moving southbound through the Red Sea.

The move would not be isolated to crude oil prices, as refined product cracks could also see strength. In the region of 6m b/d of refined products flows through the strait, which would be at risk, while disruptions to crude oil flows would also have an impact on refinery runs elsewhere,

particularly in Asia, where the bulk of energy flows.

Any blockade will see plenty of pressure from other governments, particularly in Asia, to allow shipments through the choke point. Asia has a significant exposure to energy supplies from the Persian Gulf. 84% of oil and 83% of LNG that passes through the Strait of Hormuz ends up in Asia, with China the key market.

How could energy markets deal with any supply disruptions?

If the market sees significant oil supply disruptions, the quickest action we are likely to see from governments is a coordinated release of oil from strategic petroleum reserves (SPR). There will be plenty of focus on the US SPR, which is about 35% smaller than what it was at the start of 2021, given it was used heavily following Russia's invasion of Ukraine in 2022. However, at roughly 415m barrels, there is room for further emergency releases to take some pressure off the market. Clearly, releases from reserves can only offer temporary relief.

OPEC+ could also potentially help through supply increases. The group agreed on a larger-than-expected supply increase of 206k b/d for April at its meeting on 1 March, more than the 137k b/d expected. However, if we do see sizeable supply disruptions due to this conflict, this supply is not going to move the needle much. In addition, a key issue is that the bulk of OPEC spare capacity sits in the Persian Gulf. Therefore, if there are blockades in the Strait of Hormuz, this additional supply will be of less help to the market.

Higher prices will also see a supply response. And given its shorter lead time, the market will be focused on any supply response from the US shale industry. However, this will not be immediate, with it taking 6-12 months to bring additional supply onto the market.

For the global LNG market, it would also be difficult to deal with disruptions. The market is coming out of a period of tightness and while there is plenty of US LNG export capacity which is scheduled to start up in the coming years, including some capacity this year, it will be too little and too late to offset the volumes at risk from Qatar and the UAE. Instead, higher prices will need to persist in an attempt to try to balance the market through demand destruction.

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Germany's 'super election year' – 5 elections determining the government's reform efforts

From Baden-Württemberg's industrial heartland to Saxony-Anhalt's AfD reckoning, 2026 is a test of whether Berlin's grand coalition can survive the year it promised to deliver

German Chancellor Friedrich Merz

Every four years, the United States has its 'Super Tuesday'; the day when most states have their primary elections in the presidential race. Every few years, Germany has its very own 'Super Election year'; a year in which several regional state elections are not only a test case for the federal government but can also reshape the political landscape. Next week, the state elections in Baden-Württemberg on 8 March will kick off an election year with five state elections. Rhineland-Palatinate will be the second on 22 March, followed by Saxony-Anhalt, Berlin and Mecklenburg-Vorpommern in September. Last but not least, there will be three municipal elections as well this year: in Bavaria, Hesse, and Lower Saxony. Speaking from historical experience, the outcomes of these regional elections are always driven by a mix of federal/national factors and figures but also by local or regional circumstances. Sometimes one is more relevant than the other, and vice versa.

However, one thing is for sure – this year the elections will be seen as a first test case for

Chancellor Friedrich Merz and the popularity of his government, but also the stability of the coalition going forward. It will serve as a test case for the Alternative for Germany party (AfD) as the elections in the autumn, in particular, could lead to the first ever AfD Minister-President in a German state. But there is more: state governments appoint members to the Bundesrat, the upper chamber of parliament, which has a say in major legislation. A federal government led by the Christian Democratic Union (CDU) facing Bundesrat opposition from left-leaning state coalitions could find its reform agenda slowing to a crawl. Conversely, a string of CDU gains in the Länder would not only strengthen Merz's hand in the upper chamber but send a powerful political signal that his government's programme enjoys popular support outside the Berlin bubble.

A problem in Germany (or, for that matter, all of Europe) is that there is no synchronised election calendar. With 16 regional states, the next important election is never far away, often affecting national politics and particularly strategic decision-taking, with implications even at the European level. Just think back to the Greek crisis when the decision on a bail-out was postponed until after elections in the German state Northrhine-Westfalia. In times when the economic business model of the entire country needs an overhaul, the conflict between short-term orientation in regional elections and long-term reforms becomes a real problem.

The five elections

- Baden-Württemberg, 8 March. The opener and, for now, the most closely watched. The CDU wants to reclaim the Minister-President position for the first time since 2011. We ll also be watching the results for the AfD in one of Germany's most important economic powerhouses, a state that is currently feeling the pain of industrial transformation more acutely than almost anywhere else. More on this below.
- Rhineland-Palatinate, 22 March. The Social Democratic Party (SPD) has governed here continuously since 1991. Losing this state, where Helmut Kohl once ruled for the CDU, would be a substantial blow to an already struggling junior coalition partner to Friedrich Merz and could push the party into an existential crisis that reverberates back to Berlin.
- Sachsen-Anhalt, 6 September. This is where the AfD question becomes acute. The party is polling at 38-40%, ahead of any combination of other parties that could credibly govern. The CDU has held the premiership here since 2002, but forming a majority without the AfD is, according to current polls, only possible with a mathematically fragile multi-party arrangement. The firewall, the CDU's stated refusal to govern with the AfD, faces its most serious test here. If the firewall holds and a patchwork coalition stumbles, the AfD draws exactly the lesson it wants: that the mainstream parties' unwillingness to work with it is the problem. If the firewall cracks, Germany's political landscape shifts permanently.
- Berlin, 20 September. CDU incumbent Kai Wegner has governed with the SPD since 2023 in a coalition that is functional but not inspiring. His recent handling of the power outage and winter weather chaos has not helped. Berlin is an unusual battlefield where the Left, Greens, SPD and AfD all compete in relatively close proximity, and the result could produce a governing coalition that looks nothing like what anyone in Berlin's federal government would prefer.
- Mecklenburg-Vorpommern, 20 September. Another eastern state, another AfD stronghold. Manuela Schwesig's SPD has governed here since the late 1990s, but the AfD is polling as the clear frontrunner at around 30-35%. Schwesig is popular personally, which may soften the blow, but coalition mathematics here too are deeply uncomfortable. A second SPD defeat on the same evening as Berlin would be a brutal night for Merz's junior coalition

partner.

Focus on Baden-Württemberg

Baden-Württemberg is not a typical German state. With nearly 11 million inhabitants, it is Germany's third-largest by population and one of its most economically significant. Home to Mercedes-Benz, Porsche, Bosch, Trumpf and SAP, it was long the benchmark for what industrial policy can achieve when it works.

The past tense is deliberate. The state economy contracted 0.4% in 2024, performing worse than even the weak national average. Household-name companies are recording losses and are announcing job cuts. Some have brought parallels with the Ruhr Valley. What coal and steel were to that region, the combustion engine could be to Baden-Württemberg. The Ruhr's decline took decades, was subsidised at enormous cost, and never fully resolved. The warning is not that transformation is impossible, but that it can be fatally delayed by political timidity.

The state has been governed by the Greens since 2011, when Winfried Kretschmann became Germany's first and only Green Minister-President. He won elections largely on personal trust that transcended his party. He is not running again, and with him goes the electoral magic that kept the Greens ahead of the CDU in a state that is, by temperament and tradition, conservative.

The CDU s Manuel Hagel, 35, is currently the frontrunner. Already his party's youngest ever state Fraktion chair, he has assembled a visible alliance with Bavaria's Markus Söder and Hesse's Boris Rhein to signal mainstream Union credentials. His platform centres on deregulation, affordable energy and support for industry, well-suited to Baden-Württemberg's mood.

The Greens' Cem Özdemir, former federal agriculture minister, born in Bad Urach to Turkish immigrant parents and one of Germany's most recognisable politicians, is the more intriguing candidate. He is running as a pragmatist, deliberately distancing himself from the prescriptive, regulation-heavy image that has become the Greens' electoral liability. His personal approval rating, at 39% for Minister-President, dwarfs Hagel's 18%. The problem is that personal popularity does not automatically transfer into party support. The latest polls put the CDU at 28%, the Greens at 22%, and the AfD at 20%, double its 2021 result of 9.7%.

What is at stake for Friedrich Merz

Merz came to the chancellorship with a mandate and a compliant coalition partner. One year on, Germany has seen an enormous U-turn on fiscal policy but only tentative signs of structural reform. The promised breakthrough on reforms regarding welfare costs, competitiveness or the structural fiscal gap beyond the special purpose vehicle for defence and infrastructure has not arrived.

The March elections are the early warning system. A CDU victory in Baden-Württemberg would be a significant symbolic win. A narrow loss, or a result that leaves the CDU as the junior partner, would be the first signal that expectations have run ahead of delivery. For the SPD, Rhineland-Palatinate is existential in the way that Baden-Württemberg is for the CDU.

There is also the Bundesrat dimension that matters beyond the headlines. State governments appoint members to Germany's upper chamber, which has a say in major federal legislation. A string of CDU gains would strengthen Merz's hand in the Bundesrat and his legislative room for manoeuvre. A string of losses would constrain it at precisely the moment when his government

needs to push through reforms that require cross-chamber support.

The September elections are a different order of challenge. Here the question is not whether Merz's CDU wins, but whether it can prevent the AfD from crossing the threshold that makes a stable coalition government impossible. Every time the firewall holds under pressure, Merz's authority within his own party is reinforced. Every time it looks like it might crack, the AfD has its argument handed to it: that the mainstream parties' refusal to engage with it is leading to governmental dysfunction rather than solving it.

Super election year will determine how much reform effort to still expect from Merz

Germany's Superwahljahr – a year of multiple elections – is not just a test of Merz's popularity. It is a test of whether the political mainstream can still govern effectively enough that voters see a reason to stay within it. The last German leader with the courage to push through painful structural reform was Gerhard Schröder. His reforms outlasted him. His successors have largely avoided his fate by also avoiding his ambition.

The moment to act is before the crisis looks irreversible, not after. Baden-Württemberg's voters know this story well. On 8 March, they begin to write the next chapter. This is the first of five chapters this year that will also determine the pace of any new reform efforts.

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Is UK political drama really a disaster for gilts? It's complicated...

UK borrowing costs have tumbled through February, but will politics put an abrupt stop to that? Tuesday s Spring Forecast is likely to emphasise that the short-term fiscal backdrop looks brighter, even if longer-term challenges haven t gone away. We think neither fact is likely to change drastically this year, regardless of politics

UK Chancellor Rachel Reeves and Prime Minister Keir Starmer. Tuesday's statement might highlight an improved short-term fiscal backdrop, but deep-seated challenges are likely to persist

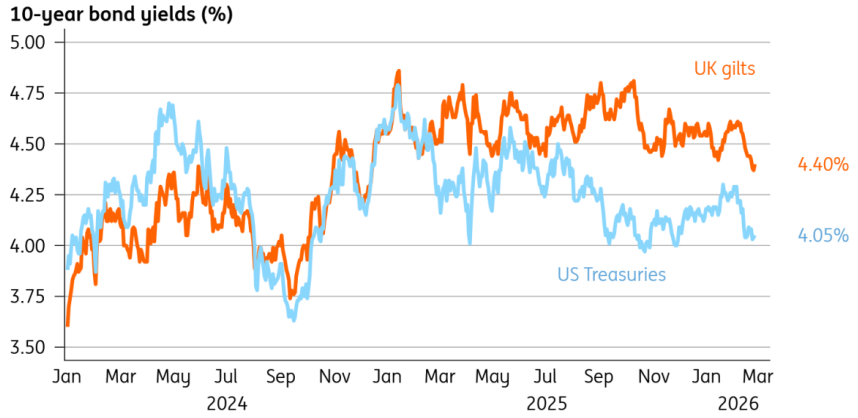
Investors have fallen back in love with UK gilts

UK government bonds (gilts) are back in vogue. 10-year yields are down more than 20 basis points on the mid-February highs, helped by lower US rates. London-based bond investors we spoke to earlier this month were overwhelmingly overweight (ie holding more) gilts.

Diminishing inflation risks are increasingly cited as a source of optimism. The two-year swap rate – a gauge of Bank of England policy expectations – is at new lows. More recurrent US equity market jitters make gilts more attractive too, as a shelter from AI-related volatility. The spread between gilt and swap rates is narrowing, suggesting healthy demand.

And for now, all that's helping to keep political concerns at bay. Risk premium in gilts has evaporated. Yields are much closer to our long-term fair value estimates.

UK gilt yields have fallen with US Treasuries



Source: Macrobond, ING

The "Spring Forecast" looks like a non-event

But can that last? There's no shortage of political flashpoints over coming weeks – from the fallout of this week's by-election in Gorton and Denton, to challenging local elections on 7 May. Nationally, Labour are polling 18% according to YouGov, down from around 35% at the 2024 general election. Keir Starmer's position as Labour Party leader – and therefore as Prime Minister – still appears vulnerable.

That all threatens to overshadow next Tuesday s "Spring Forecast". UK Chancellor Rachel Reeves will be keen to avoid a re-run of last year's statement, where financially modest but politically seismic welfare changes sparked a huge political backlash and ultimately U-turns.

Fortunately for the Treasury, the Office for Budget Responsibility's forecasts are likely to be little changed – certainly nothing that's likely to drastically alter the comfortable levels of "headroom" available under the fiscal rules. Next week s announcement is likely to be low-key.

So what happens if leadership noise resurfaces? A few short-lived gilt sell-offs last year offer a clue to the financial market reaction. A new prime minister would likely mean a new chancellor (finance minister). A new chancellor might mean new fiscal rules. And new fiscal rules would presumably herald more borrowing and gilt issuance, potentially complicating the Bank of England's rate-cutting cycle. UK yields likely go higher again if those risks resurface.

That may well be the short-term playbook, but is it the right reaction? The reality looks more nuanced.

For one thing, Labour Party rules don't make it easy to change leader. 20% of Labour MPs need to back a rival candidate to trigger a contest. That's 81 lawmakers. Even if that number push for a change in leader, can they all agree on a single nominee?

In the event a Labour leadership challenge is triggered, though, we think there are four questions we'd need to answer:

Would there actually be a change in the fiscal rules?

We aren't so sure. The 2022 mini budget crisis, which temporarily lifted mortgage rates, is still etched firmly in the national political memory. Leadership contenders, wary of doing anything that might spark a repeat sell-off in bond markets, will be under enormous pressure, we suspect, to commit to the rules as they are currently written. If they do, that would be received positively by bond markets.

2 Would a new leader dramatically alter the near-term fiscal story?

The backdrop is looking more positive. We think it would take a lot to stop the budget deficit falling further this year.

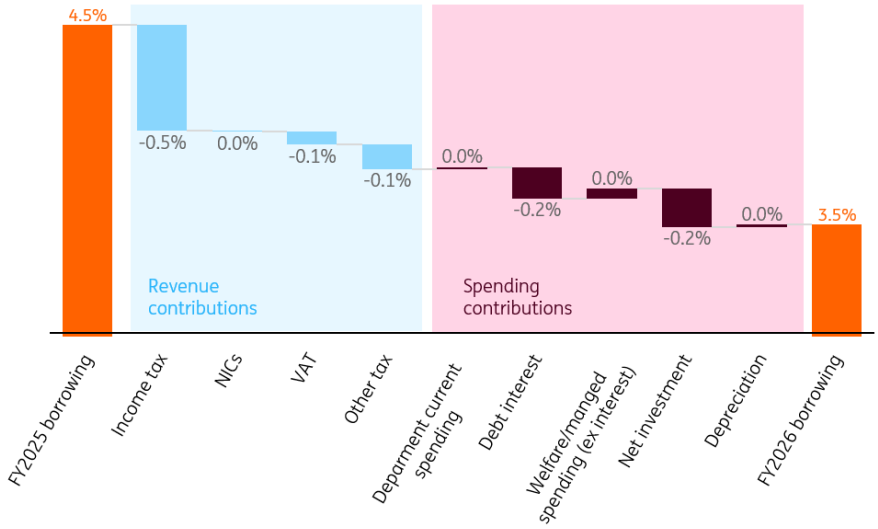
The FY2025 deficit looks like it will come in at 4.3%, below the Office for Budget Responsibility s (OBR) 4.5% forecast and the 5.1% recorded in the previous year. It's on track to fall to 3.5% this year. Gilt sales, though still elevated, are set to be materially lower – circa £250bn vs £300bn in the current fiscal year.

Much of the forecasted deficit decline – 0.5ppt – is down to rising income tax receipts, a consequence of the ongoing freeze in payment thresholds. Inflation means an increasing number of people get dragged into higher tax brackets. No chancellor is likely to row back on that policy. Another 0.2ppt of the decline is owing to a slight fall in net investment as a share of GDP – again, something that's not likely to change overnight given the lags involved with capital spending.

To offset those two factors and prevent the deficit falling below 4.3% would require a £23bn increase in (for example) day-to-day departmental spending budgets. That would be a 6% real-terms increase – significantly higher than the 1.8% that's budgeted, or the 3-3.5% increases we've seen over the past couple of years. And that sort of spending increase wouldn't be permissible under the fiscal rules, unless it were temporary.

In short, borrowing is coming down in the near-term and the bar to stopping that is high.

Contributions to the fall in the UK deficit between FY2025 and FY26 (OBR forecasts)



Source: Office for Budget Responsibility, ING

3 Would an increase in borrowing/spending move the needle for the Bank of England?

In theory – yes. Higher spending means higher growth and ultimately inflation over the two-year horizon the Bank bases its decisions on. But in practice? Our view is that the BoE will cut rates in March and June. The next budget isn't until October/November.

We wouldn't rule out further cuts beyond June. And markets may be tempted to start pricing that, should the inflation outlook continue to improve. A stimulative budget might stop or at least delay more easing. But if we're right that the easing cycle is done and dusted by the summer, how likely is it that the Bank comes in and hikes rates once or twice in response to looser fiscal policy? The answer is "not very".

4 What would a leadership contest mean for the UK's longer-term fiscal challenges?

This is where things look more problematic – regardless of who is in charge.

Beyond 2026, the Treasury's spending plans become unrealistically austere. Real-terms departmental day-to-day spending is budgeted to remain flat in 2029 – and falling in per-capita terms. And 2029, remember, is an election year.

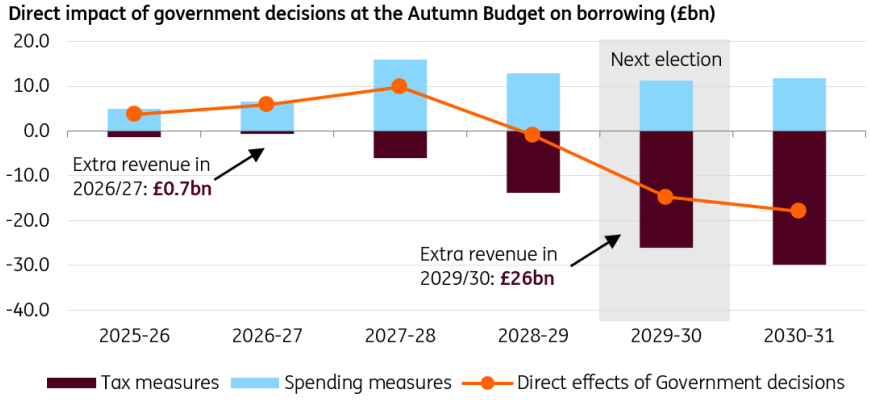
Politics isn't the only reason those spending plans are likely to eventually get topped up. Reports suggest the government is planning to boost defence spending so that it reaches 3% of GDP in the current parliament. The latest budget plans have it rising to 2.5% by 2027 and staying there. Getting to 3% by 2029 comes at an annual cost of £17bn.

A lot of that would likely be capital spending – military equipment – which isn't counted against the main fiscal rule, requiring revenue to balance out day-to-day spending by FY2029. But it would

count against the second rule, to stabilise Public Sector Net Financial Liabilities (a broader measure of public debt) as a share of GDP.

Headroom against this target is £24bn. Given debt is a stock measure, any extra spending will accumulate over time. The earlier the defence spending commitment is reached, the more likely it is that this target gets broken.

November's tax hike announcements backloaded to 2029



Source: Office for Budget Responsibility, ING

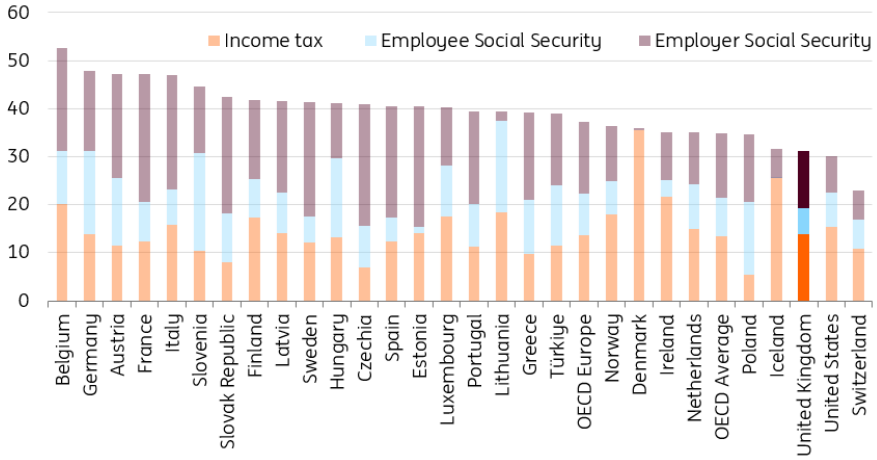
That leaves the government with a painful choice. Does it hike taxes, which are already going up in 2029? Most of the planned revenue-raisers in last year's budget don't kick in until then.

Remember that tax on the average UK worker across income tax and employee/employer National Insurance (social security) is among the lowest in Europe as a proportion of total labour costs. In the absence of higher economic growth, the uncomfortable reality is that if the government wants (or needs) to spend more, it will be hard to do so without raising at least one of the major tax rates.

Yet that's going to get harder, politically, as we approach the next election. That might shift focus back to the alternative, which is to boost borrowing via a change in fiscal rules after all.

So, while the near-term fiscal story looks better – and should remain the dominant theme for markets – it doesn't take away from the fact that difficult and currently unanswered questions loom later this decade.

Tax rates as a share of average labour costs (%)



Source: OECD, ING analysis

UK data has been recalculated to reflect April 2025 employer NI increase. OECD Europe calculated by ING. Labour costs defined as average salary plus employer social security contribution.

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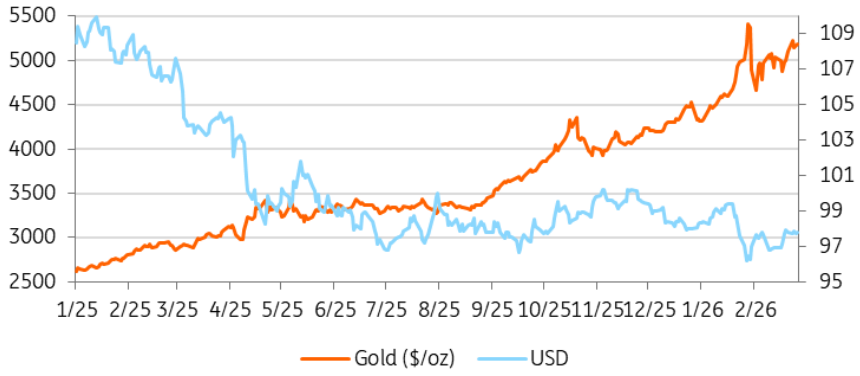
Why the gold rally isn't over yet

While gold prices have consolidated after January's sharp run up and a subsequent sell off, we do not believe the rally has run its course

Despite the recent sell-off, gold prices remain supported by central bank buying, including Poland and China

Momentum may moderate from here. But the structural drivers underpinning the market remain firmly in place – and in some cases are strengthening.

Gold's structural support remains intact despite January sell-off



Source: Refinitiv, ING Research

1. Central banks are still buying

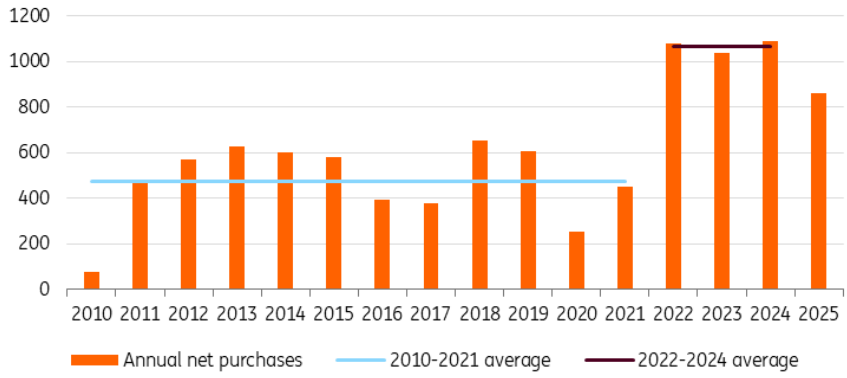
Official sector demand remains the backbone of the gold market. Since Russia's invasion of Ukraine in 2022, central banks, particularly across emerging markets, have accelerated reserve diversification in response to sanctions risk, geopolitical fragmentation and a desire to reduce reliance on the US dollar. Crucially, this demand has proved steady and largely price insensitive.

Poland, the world's largest reported gold buyer last year, has signalled further purchases as it targets a higher absolute level of gold holdings rather than a fixed share of reserves. It is now targeting around 700 tonnes of gold, up from roughly 550 tonnes, rather than a fixed 30% share of reserves. This underscores that reserve accumulation remains strategic, not tactical.

China's central bank also extended its gold buying to a fifteenth month in January.

As long as geopolitical fragmentation persists, a meaningful reversal in central bank gold demand looks unlikely. This structural floor continues to underpin the market at elevated price levels.

Central bank demand remains resilient



Source: World Gold Council, ING Research

2. Geopolitics back to the forefront

Geopolitical risk has re-emerged as a dominant macro driver. From renewed Middle East tensions to trade frictions and tariff threats, investors are navigating a more uncertain global environment. Policy unpredictability, particularly around trade, is increasing volatility across asset classes. Against this backdrop, safe-haven demand remains well supported. Gold's role as a hedge against geopolitical and policy shocks is once again in focus.

3. Fed easing could add a tailwind

A shift in the US monetary policy backdrop could provide an additional tailwind for gold. While the Federal Reserve remains cautious, the balance of risks is gradually tilting towards easing as growth momentum cools and inflation continues to normalise.

Our US economist expects the Fed to begin cutting rates in the second quarter, with policy becoming incrementally less restrictive over the coming quarters. Even a modest easing cycle would be supportive for gold, lowering real yields and reducing the opportunity cost of holding non yielding assets.

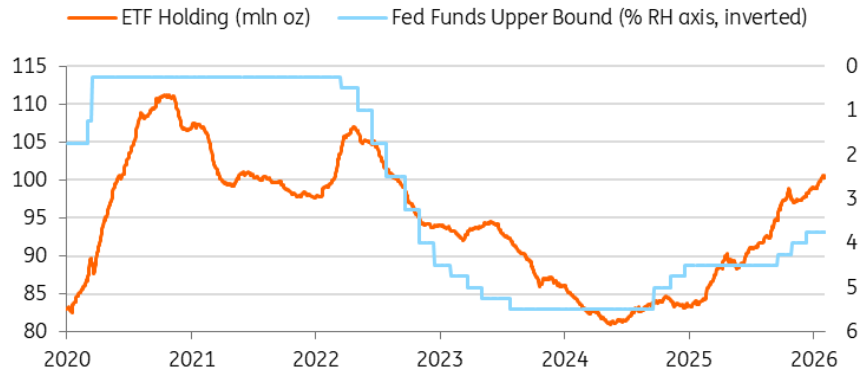
4. ETFs showing renewed appetite

ETF positioning remains well below the 2020 peak, leaving room for further inflows. After a period of consolidation, gold ETFs are once again attracting investor interest. While central bank buying continues to anchor the market, ETFs have the capacity to amplify price moves.

If rate cut expectations firm or geopolitical risks intensify, a renewed wave of ETF inflows could provide another leg higher for gold prices.

Historically, ETF holdings tend to rise alongside prices and are closely linked to expectations for US monetary policy, reinforcing the case for stronger inflows as the Fed moves towards easier policy.

ETF flows respond to shifts in Fed policy



Source: US Fed, Refinitiv, ING Research

5. Digital dollars and reserve evolution

Reserve evolution is no longer confined to central banks. The rapid growth of US dollar-backed stablecoins has created a new institutional buyer of reserve assets.

Stablecoin issuers, most notably Tether, have become significant buyers of reserve assets, including US Treasuries and increasingly gold.

Tether alone purchased over 70 tonnes of gold last year, second only to Poland among reported buyers, and now holds around 140 tonnes across its reserves and gold backed token. If gold remains part of this reserve strategy, stablecoin growth could represent an additional structural source of demand, behaving more like central bank buying than retail flows.

While still smaller in scale, this channel adds another layer of structural support.

Momentum may slow, but the case for gold remains

The path higher is unlikely to be linear. At record price levels, physical demand is becoming more price sensitive, and periods of consolidation – or short-term corrections – should be expected.

However, the structural pillars of this rally – central bank diversification, geopolitical fragmentation, potential policy easing and renewed ETF interest – remain intact. For now, the broader environment continues to favour gold.

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Prudent Dutch government finances prove challenging under new NATO target

Don't expect large changes to the economic outlook on the back of policy changes in the Netherlands, but some structural growth improvements could be in the making. The budget is getting a large makeover to meet the NATO target with higher taxes and cuts elsewhere. The debt-to-GDP ratio is set to rise further in the long run, albeit from a low level

Members of the Dutch press in front of the Johan de Witthuis building, where the prime minister welcomed new ministers

The new Dutch government was sworn in on Monday, 23 February. When it comes to the economy and public finances, its focus is very much on increasing the defence budget towards the NATO target and improving structural economic growth. But this will come at the cost of higher taxes, cuts elsewhere and a weaker long term debt outlook.

Large boost to defence spending is main budgetary challenge

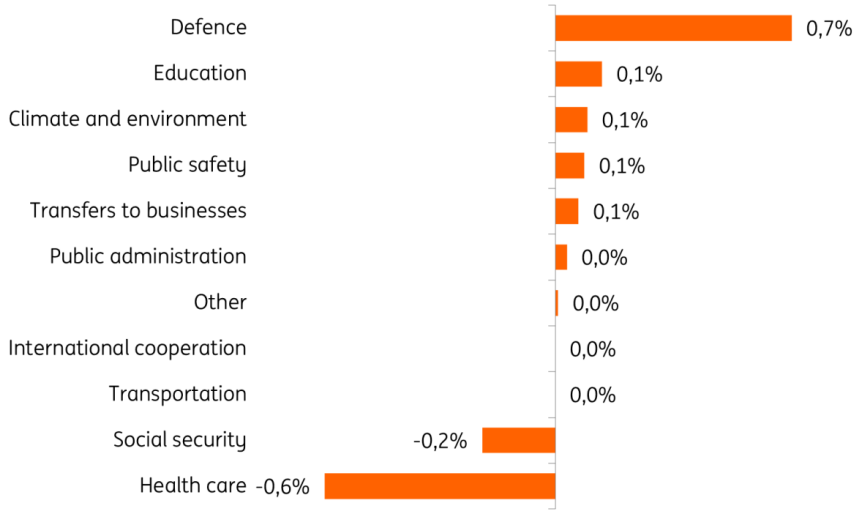
The Dutch government aims to remain fiscally prudent while increasing defence spending to meet the new NATO target. That is laudable as 17 other EU countries, including Dutch neighbours

Germany and Belgium, are currently using the national escape clause under the Stability and Growth Pact, which allows additional defence spending of up to 1.5% of GDP per year until 2028.

But the budgetary effort announced by the Dutch government is sizeable, with defence spending set to rise by €8.1bn (0.7% of GDP) by 2030, alongside further increases of €1.6bn for education, €1.1bn for climate and the environment, and €1bn for public safety – the largest spending adjustments relative to the no policy change baseline.

Jetten coalition imposes short-term austerity on social security, health care to fund defence

Change* in government expenditure – expressed as a percentage of GDP in the year before the start of the term – in the final year of the governing period, resulting from the policies set out in the coalition agreement.

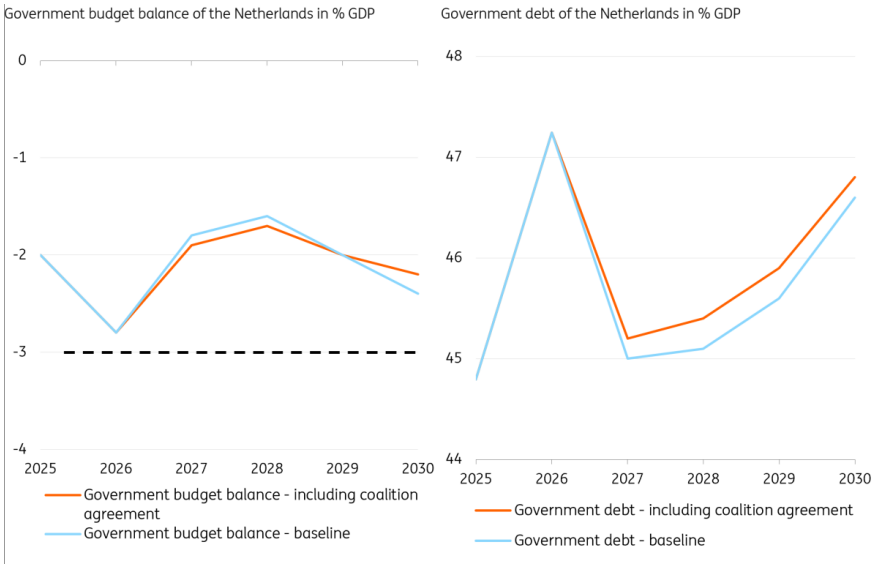


Source: CBS, CPB and Wim Suyker, calculations ING Research; *Concerns the ex-ante effect, which does not account for economic feedback effects on the budget

To counter this, significant cuts of €7.9bn in health care (mainly through higher copayments) and €2.5bn in social security have been announced. In addition, a 'freedom tax on households and businesses results in €5.1bn extra government revenue. Together with some smaller tax increases, this represents the largest rise in the tax burden since the Rutte II government (2012-17), amounting to 0.5% of GDP.

Overall, this means that the expected budget deficit for the coming four years is little changed under the incoming government's plans. The calculations by the Netherlands Bureau for Economic Policy Analysis (CPB) show that the budget deficit will remain around 2% of GDP for the four-year duration of the cabinet, with a modest increase in the debt-to-GDP ratio to 46.8%. This would leave the Netherlands among the eurozone's best performers for government finances by 2030.

Coalition pact with higher defence spending leaves Dutch public finances largely unchanged in the short term



Source: 2025 and 2026 ING Research estimates, 2027-2030 CPB estimates

Budgetary challenges for future governments remain

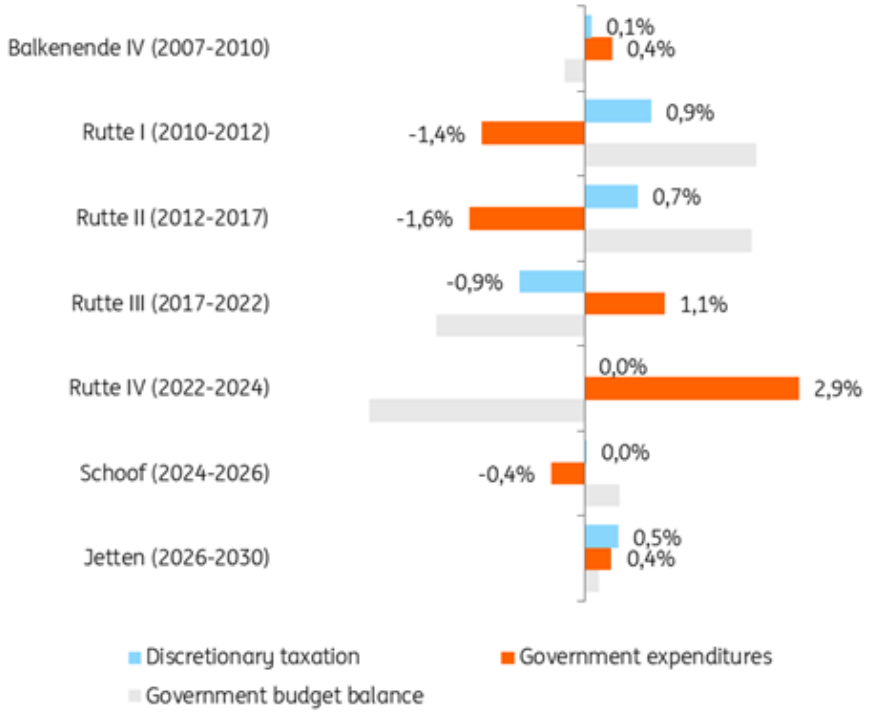
But the period after becomes more interesting. Continued increases in defence spending between 2030 and 2035, together with continued (albeit mostly temporary) investments in climate (including windmills), the environment, agricultural reform and housing, and structurally higher spending on education and police, will result in a more rapid than expected increase in the budget deficit. This means that while the new government keeps the budget deficit below 3% of GDP throughout the cabinet's term, it is still expected to see a structural increase in debt levels. This partly reflects the fact that structural spending cuts take longer to deliver their full savings than the additional spending takes effect. One of the key reforms – the adjustment of the statutory pension age – will not be implemented before 2033.

This additional rise in debt comes on top of an already projected debt accumulation driven by rising long term care and social security costs, reflecting an ageing population and the increased generosity introduced by previous governments. The next government will therefore continue to face a significant budgetary challenge. Under current CPB projections, the debt to GDP ratio is still expected to rise to 137% by 2060, from 118% even in the absence of the current government's plans.

This highlights the challenge facing European countries in maintaining broadly sustainable debt levels as the 'peace dividend' fades and defence spending rises rapidly. While 17 of the EU's 27 member states have now activated the national escape clause, 2028 will come around quickly. The Dutch case shows that even substantial spending cuts elsewhere and higher taxes may still be insufficient to fully offset rising costs.

Previous governments already initiated much higher (structural) spending

Change* in the final year of the governing term (as a percentage of pre term GDP) resulting from the coalition agreement's policies.



Source: CBS, CPB and Wim Suyker, calculations ING Research; *Concerns the ex-ante effect, which does not account for economic feedback effects on the budget

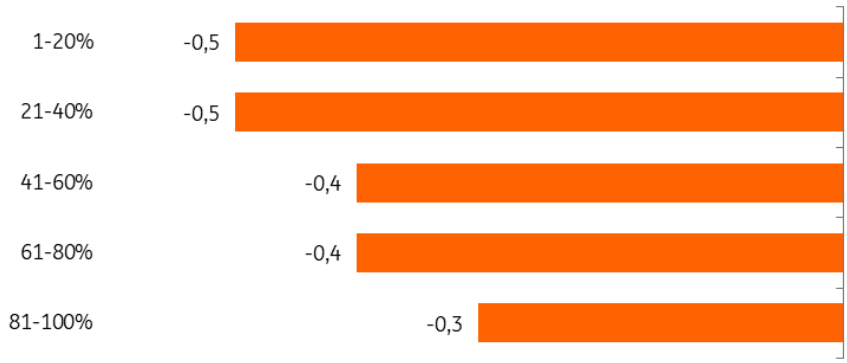
Previous governments already initiated much higher (structural) spending

No big impact on short-term growth but some structural improvements

While the underlying changes to the budget are sizeable, the short-run fiscal impulse coming from the new government is negligible compared to the public finances of the outgoing government. CPB doesn't expect the package to have any noticeable impact on actual GDP growth for the coming years, but there will be an impact on underlying expenditure categories. The higher income taxes and lower social security spending (which affect lower income groups more) will likely curb consumer spending growth modestly. Business investment and government spending are set to grow somewhat faster.

Coalition agreement affects purchasing power negatively, especially for lower incomes

Impact of coalition policies on purchasing power, 2027–30 (percentage points per year relative to median, by income group).



Source: CPB, calculations ING Research

But structural growth is positively influenced by policy changes as CPB expects an increase in labour supply through the increase in the pension age and changes to social security. Although this is difficult to model and thus not explicitly included in CPB calculations, there is also a possibility that more effective measures to address congestion in the energy grid and the still looming nitrogen problem can create scope for investment. And the modest additional public infrastructure is helpful, too.

Finally, the reversal of austerity measures in education also benefits human capital and thus potential growth.

Higher tax burden does not impact Dutch inflation much

The coalition does not significantly influence consumer prices, despite its intention to fund part of the increased defence expenditure through higher taxes. Measures that do directly increase consumer prices include a higher VAT on ornamental horticulture from 9% to 21% in 2028 and a sugar tax for producers in 2030. On the other hand, there are a few subsidy measures that lower energy prices for producers, which may have an indirect effect on consumer prices.

In the shorter term, adjustments to gasoline excise duties have the largest impact on the HICP. During the energy crisis, fuel excise duties were temporarily reduced and not indexed to inflation. The coalition is now postponing the return to the normal, inflation-indexed level by yet another year – pushing the increase for gasoline from 2027 to 2028, following similar measures taken by previous governments (then applying to all motor fuel excise duties). This brings down inflation expectations for 2027, but raises the forecast for 2028, resulting in a smoother inflation profile. We expect Dutch inflation to remain around 2% in 2026 and 2027.

What we're watching as the government begins its term

With a minority government, the question is how many of the current plans are set in stone. The government parties only hold 66 seats out of 150 in parliament, which means that negotiations

with the opposition could still lead to different outcomes for the policies currently proposed.

We are interested in seeing how those negotiations unfold – whether, for example, the current budgetary impact holds. There has already been criticism of how the tax burden is split between income and wealth, an area where changes remain possible. Likewise, opposition to the higher statutory pension age could yet lead to adjustments. With a minority government, much can still change after day one.

We re also curious to see how quickly the government can make progress on bottlenecks currently holding back investment (think of nitrogen and net congestion) and deregulation efforts. Both would likely stimulate investment, but these are tough issues to tackle, and previous governments have had a hard time making progress on them. If government policies do deliver the desired effects quickly, this could boost growth, not only in the short term but also more structurally – something that would be very welcome given the budgetary challenges still ahead.

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